

“Reliance Life Sciences... would be graduating from making life-saving drugs mostly to treat patients in intensive and critical care to addressing unmet medical needs in rare genetic diseases”

MUKESH AMBANI, CHAIRMAN AND MANAGING DIRECTOR, RELIANCE INDUSTRIES LTD

facility for manufacturing plasma proteins, biosimilars, small molecule oncology products and vaccines. In phase II, there will also be commercial scale manufacturing facilities for gene therapy (a way to modify a person's genes to cure diseases) and mRNA (a single stranded molecule carrying instructions to make proteins) products.” A biosimilar is a biological medicine that is highly similar to another that has already been approved by regulators.

Once these products get to even higher volumes in the market, there is the ability to expand the manufacturing facilities in the Nashik campus.

The bet on higher volumes is a reflection of the dynamics of the biopharmaceuticals segment, which is growing at an impressive 25 per cent annually.

With the campus coming up and a host of ambitious plans to go with it, the outlook is understandably buoyant. “Reliance Life Sciences, while continuing to strengthen the foundation it has created in medical biotechnology products, has taken up several novel initiatives in vaccines, peptides, gene and cell therapies, mRNA and oligonucleotides. In the process, it would be graduating its profile from making life-saving drugs mostly to treat patients in intensive and critical care in hospitals to addressing unmet medical needs in rare genetic diseases and disorders,” Mukesh Ambani, Reliance Industries’ Chairman and Managing Director, tells *Business Today*. Peptides are strings of amino acids that are called the building blocks of proteins.

BREAKING IT DOWN

The buoyant mood is underpinned by a business that has been grown patiently and that is coming of age now. It has been nurtured with some basic guidelines that reflect the ethos of the group as a whole.

Many years ago, Ambani told Subramaniam, “If you don’t invest in manufacturing, you will not get scale.” Mega projects like Reliance’s Jamnagar refinery or the one for petrochemicals in Hazira bear testimony to this reasoning. “We make almost everything

that we sell and the approach has been to continuously invest in manufacturing. The principle we follow is to do it ahead of demand and that was one of the reasons for investing in a new campus,” he points out.

But just what is the low-profile RLS all about? According to Subramaniam, 65, a three-decade veteran of the group, the company, predominantly, has a play in medical biotechnology-based products and services. “Most of the products we make are used in critical and intensive care in hospitals. You will not find our products in chemist shops,” he explains.

“Biotechnology is where we chose to be,” says Subramaniam, picking his words carefully. It is an area with very good business potential, but for every success there

are, quite literally, hundreds of failures. The company is clear about addressing unmet medical needs, and there is absolutely no room for error. “When you make a product, it goes into the body of a person who is critical. For instance, Reteplase (our product), is a clot buster for a patient [suffering from cardiac arrest], or albumin is for trauma, accidents or liver cases.”

Besides, it is a long-gestation business. But as Vinay Ranade, the company’s CEO, puts it, “not as long as an innovator product and not as short as a generic product. Typically, we used to take four to five years and with stringent regulations for something like biosimilars, it is now at six to seven years.” An innovator product is one that has a new chemical entity that has received a patent on its chemical formulation or manufacturing process. Generics, meanwhile, are pharmaceutical drugs that contain the same chemical substance as a drug that was originally protected by chemical patents.

In terms of numbers, RLS’s revenues have zoomed 25 per cent on an annualised basis over the last five years, Subramaniam points out, while Ebitda (earnings before interest, taxes, depreciation, and amortisation) has jumped 42 per cent (see *chart A Tightly Run Ship*). The revenue for FY23 was around ₹2,400 crore or about \$300 million, “with a valuation of \$2 billion”.